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Effects of Legacy Reserve Balances on Token Supply

Despite transient nature of many onchain wallets, the continued growth of balance-bearing addresses creates a meaningful amount of soft-locked native tokens

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Persistent demand for native layer-1 (L1) tokens arises from the need for addresses to carry an excess amount of the token to fund transaction fees. As networks continue to grow their onchain use cases and onboard new users, we believe that this will be an increasingly important vector for demand that is currently underappreciated in discussions on token supply dynamics. Leftover balances of small amounts are unlikely to re-enter circulation in large amounts, and constitute an increasingly meaningful sum of tokens relative to concrete supply changes like issuance or burns.

Although the Bitcoin and Ethereum mainnets daily active user counts have plateaued, approximately 35k BTC has become soft-locked since January 2022, about 5% of the 650k BTC issued during this time. Since the Merge on Ethereum (September 2022), the aggregated legacy reserve balance has increased by approximately 51k ETH, a meaningful 15% relative to the concrete net reduction of 339k ETH supply during this period.

This phenomena may be of particular importance for low transaction fee chains like Ethereum layer-2s (L2s) and Solana that aim to onboard a large number of users via consumer facing applications. We find that as transaction fees drop, the reserve-balance-to-transaction-fee ratio greatly increases, indicating that most onchain users on low cost

chains soft-lock far more tokens via their reserve balance than they burn in transaction fees.

For more details, see our [full report](#).

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